



PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS



QUESTIONS

PART A: Multiple Choice Questions

Integrated Case Scenario 1.

Mr. Ayush, the proprietor of BCD & Co Chartered Accountants, was appointed to audit the financial statements of Amrita Industries Private Limited for the Financial Year 2022-23. These financial statements were prepared in accordance with the Dutch GAAP and the terms & conditions specified in the contract between Amrita Industries Private Limited and Dutch Industries b.v. (Pvt. Ltd is known as b.v. in Dutch). One of the terms and conditions of the contract was to get the financial statements audited from an independent auditor. The contract also stipulated auditors to take into account misstatements of € 5000 or more while framing their report. Any misstatements identified below this threshold did not require correction or adjustment in terms of stipulation in contract. While planning audit, the audit team had also determined performance materiality at € 10000 and overall materiality at € 200000.

The following information extracted from general purpose financial statements of Amrita Industries Pvt. Ltd. prepared in accordance with provisions of the Companies Act, 2013 is given as under: -

(Figures in ₹ crores)

Particulars	FY 22-23	FY 21-22
Turnover	300	250
Borrowings from bank	100	75
Paid up capital	25	25

The borrowings from bank consisted of working capital credit facilities only. The company had been enjoying such credit facilities with a sanctioned amount of ₹75 crore in Financial Year 21-22. The credit facilities were enhanced to ₹ 100 crore at beginning of Financial Year 22-23. Outstanding balance in above credit facilities has never crossed sanctioned limits at any time during each of the above years.

Mr. Shubham, partner at BB & Associates, Chartered Accountants firm, was appointed as engagement partner for audit of general-purpose financial statements of Amrita Industries Private Limited for FY 2022-23. Before finalising audit plan, BB & Associates asked for internal audit reports. However, management informed him that there was no internal audit team or function in the organization.

During the course of audit of general-purpose financial statements, Mr. Anand, an audit executive performed risk assessment procedures, test of controls and substantive procedures. He performed a trend analysis to compare the purchases of raw materials in various months. He also performed purchase–production–sale cycle analysis to understand inventory holding. Besides going through the company's internal control manuals and visiting company's plant, inquiries were also made with company's information system personnel to provide information about control failures. Diligent inquiries were also made from company's marketing personnel regarding contractual arrangements with customers. Inquiries were also made from company's in-house legal counsel and communications were also made with company's external legal counsel by sending a letter of inquiry.

While issuing the report, BCD & Co inserted an Other Matter Paragraph in the Audit Report specifying the use of a special purpose financial reporting framework for preparing and presenting the financial statements. On the other hand, BB & Associates decided to issue an adverse opinion on all financial statement except for cash flow statement and an unmodified opinion on cash flow statement. As per BB & Associates, the cash flow statement was prepared as per the required method, and hence, it did reflect the appropriate figures.

On the basis of the abovementioned facts, you are required to answer the following MCQs:

1. The audit team of BCD & Co were not sure which materiality to choose to evaluate the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements in order to form an opinion and to conclude as to whether the auditor has obtained reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. You are required to guide the audit team by selecting the appropriate option from below:
 - (a) In the case of special purpose financial statements, management may agree with the intended users on a threshold below which misstatements identified during the audit will not be corrected or otherwise adjusted. The existence of such a threshold does not relieve the auditor from the requirement to determine materiality in accordance with SA 320 for purposes of planning and performing the audit of the special purpose financial statements.
 - (b) In the case of special purpose financial statements, management may agree with the intended users on a threshold below which misstatements identified during the audit will not be corrected or otherwise adjusted. The existence of such a threshold is sufficient to comply with the requirement of determining materiality in accordance with SA 320 for purposes of planning and performing the audit of the special purpose financial statements.
 - (c) In the case of special purpose financial statements, misstatements based on consideration of the financial information needs of the intended users are considered material and pervasive. However, the auditor needs to follow the threshold limit provided in terms of the contract, and such thresholds should be considered as the performance materiality for planning and performing the audit.
 - (d) The auditor is required to comply with each requirement of an SA unless, in the circumstances of the audit, the entire SA is not relevant, or the requirement is not relevant because it is conditional and the condition does not exist. In the case of an audit of special purpose

financial statements, the requirements of SA 320 are not applicable in entirety.

2. Mr. Manish, the audit manager of BCD & Co., objected to the insertion of the Other Matter Paragraph in the audit report. According to him, there is no such requirement to insert Other Matter Paragraph to disclose the use of a Special Purpose Framework. Whether contention of Mr. Manish is in order?
 - (a) The auditor's report on special purpose financial statements shall include an Other Matter paragraph alerting users of the auditor's report that the financial statements are prepared in accordance with a special purpose framework and that, as a result, the financial statements may not be suitable for another purpose.
 - (b) To avoid misunderstandings, the auditor shall mention that the financial statements are prepared in accordance with a special purpose framework and, therefore, may not be suitable for another purpose in Management's Responsibility section. Adding an Other Matter Paragraph for this will result in duplication of the matter, and the same should be avoided.
 - (c) The auditor may consider it appropriate to indicate that the auditor's report is intended solely for the specific users and may not be suitable for another purpose by adding a Key Audit Matter in the Key Audit Matter Paragraph.
 - (d) The auditor's report on special purpose financial statements shall include an Emphasis of Matter paragraph alerting users of the auditor's report that the financial statements are prepared in accordance with a special purpose framework and that, as a result, the financial statements may not be suitable for another purpose.
3. Mr. Chitrang, the audit manager at BB & Associates Chartered Accountant, is seeking your guidance in drafting separate opinions on the cash flow statement and Other Financial Statements. Guide the audit manager by selecting the appropriate option from below:
 - (a) When the auditor considers it necessary to express an adverse opinion or disclaim an opinion on the financial statements as a whole, the auditor's report shall not include an unmodified opinion

with respect to the same financial reporting framework on a single financial statement or one or more specific elements, accounts or items of a financial statement.

- (b) The expression of a disclaimer of opinion regarding the results of operations, and cash flows, where relevant, and an unmodified opinion regarding the financial position is allowed. In this case, the auditor has expressed a disclaimer of opinion on the financial statements as a whole and separate opinion on cash flows.
 - (c) The expression of an unmodified opinion on financial statements prepared under a given financial reporting framework and, within the same report, the expression of an adverse opinion on the same financial statements under the same financial reporting framework is permissible.
 - (d) An adverse opinion or a disclaimer of opinion relating to a specific matter described within the Basis for Opinion section does not limit the auditor's responsibility to issue an unmodified opinion on identified matters that would not require a modification of the auditor's opinion.
4. The company has violated provisions of the Companies Act, 2013 by not appointing an internal auditor. Which of following statement is likely to be correct reason necessitating appointment of internal auditor and for matters relating to appointment of internal auditor for the financial year 2022-23 in described situation in accordance with provisions of law?
- (a) The company was required to appoint internal auditor during financial year 2022-23 as it fulfilled necessary condition relating to turnover during financial year 2021-22. Such an internal auditor may have been either an individual or a partnership firm only.
 - (b) The company was required to appoint internal auditor during financial year 2022-23 as it fulfilled all necessary conditions relating to turnover, borrowings from banks and paid up capital during financial year 2022-23. Such an internal auditor may have been either an individual, a partnership firm or a body corporate.

- (c) The company was required to appoint internal auditor during financial year 2022-23 as it fulfilled necessary condition relating to turnover during financial year 2021-22. Such an internal auditor may have been either an individual, a partnership firm or a body corporate.
 - (d) The company was required to appoint internal auditor during financial year 2022-23 as it fulfilled necessary conditions relating to turnover and borrowings from banks during financial year 2022-23. Such an internal auditor may have been either an individual or a partnership firm.
5. Mr. Anand, an audit executive, has performed various procedures during the course of audit. Which of the following procedure/combinations of procedures is/are not likely to be considered as risk assessment procedures?
- (a) Performing trend analysis, going through company's internal control manuals and visiting company's plant
 - (b) Inquiries from company's marketing personnel and with in-house legal counsel
 - (c) Communication with company's external legal counsel by sending a letter of inquiry
 - (d) Inquiries made with company's information system personnel to provide information about control failures and going through company's internal control manuals

Independent MCQs

6. Safe Health Insurance Limited is a company working in the field of health insurance sector. It is now using a claim management system where incoming claims can be immediately identified on the website itself. A form is issued to the customer who signs it. The details are verified by the system against data present in it. Such system has allowed faster processing of claims, error-free data validation and increased customer satisfaction.

In respect of situation regarding working of insurance company in health insurance sector, which of following technologies has likely been used?

- (a) Internet of things
 - (b) Data analytics
 - (c) Robotic process automation
 - (d) Power BI
7. Bansal Arora & Co., a Chartered Accountants firm, is currently performing an audit for Wool Ltd., a sizable manufacturing company. Mr. Bhavesh Bansal, an experienced audit engagement partner, holds the responsibility of ensuring that the audit engagement aligns with the professional standards, adheres to regulatory requirements, and complies with the legal obligations. His duties encompass the overall supervision, direction, and the final issuance of the audit report.
- While conducting the audit, the engagement team encounters a complex issue pertaining to the valuation of the company's inventory. Within the team, there are difference of opinions on how to address this matter, resulting in a contentious situation.
- What is Mr. Bhavesh's responsibility in this situation?
- (a) Mr. Bhavesh shall adhere to the firm's policies only for addressing and resolving differences of opinion.
 - (b) Mr. Bhavesh should secure management's representation concerning the valuation and proceed with further audit procedures.
 - (c) Mr. Bhavesh should ensure that appropriate consultation occurs within the engagement team and, if necessary, with individuals at an appropriate level within or outside the firm.
 - (d) Mr. Bhavesh should communicate the issue to the client's management for resolution.
8. ALEXA Private Limited has been operating in India for the past 15 years with three group companies – one subsidiary in India and the other two in Singapore and Germany. The acquisitions of these subsidiaries were gradual, with control obtained after initial investments. The statutory auditors have determined that all group companies are significant for the audit of consolidated financial statements. For the year ending

March 31, 2023, the audited financial statements of all components are available, except for the German company, whose audit has been delayed and won't be completed before the release date of the consolidated financial statements (CFS) of the parent company.

The financial statements of the German company for the consolidation audit of CFS, what could be the possible situation?

- (a) Since the audit of the German company is in progress, its financial statements subject to audit can be considered by the auditor of the parent company. Audited and signed financials can be provided to auditors even after the release of audited CFS, as this is a matter of documentation only.
- (b) If the auditor does not receive audited financial statements of the German company, he should modify his audit report.
- (c) The management should provide management accounts to the auditors of CFS, and the auditor can mention this point in the "other matters" paragraph in his audit report, which is an acceptable approach.
- (d) The auditor should exclude the financial statements of the German company from the CFS.

PART B: DESCRIPTIVE QUESTIONS

Standards on Auditing, Statements and Guidance Notes

General Auditing Principles and Reporting

9. While conducting the audit of Quantum Mechanics Limited, Mr. Manoj, the audit manager, identified significant payments made by the company for legal and retainership fees related to litigation. The litigation pertained to the Thirunelly manufacturing plant, situated on forest land reserved for the Elephant Corridor, which was declared illegally constructed. The company had received a notice to decommission the plant by 31-05-2022, but it had challenged decommissioning order in the High Court and matter was still pending there. The company had not disclosed any information related to the litigation in its financial statements for Financial Year 2022-23. The Thirunelly plant accounted for over 75% of the company's annual

production, and the audit team expressed concerns that decommissioning could significantly disrupt operations and potentially lead to bankruptcy.

The audit was near to completion. When Mr. Manoj sought advice from audit partner Mr. Shalabh on this matter, he suggested that no immediate action was necessary from the auditors, as the matter was still pending in Kerala High Court.

However, Mr. Manoj feels that situation requires action from auditors and to be indicated in the report. Whose view seems to be appropriate? Comment with reference to applicable Standards on Auditing.

10. You are appointed as Statutory Auditor of Supreme Ltd. and are in the midst of conducting Annual Audit for the financial year ending on 31st March, 2023. During the course of audit, you come across a situation involving recording of purchases amounting to ₹ 1.50 crores from a company incorporated on 18th March, 2023. Upon further inquiry, you discover that purchases have been booked at the instance of one of the directors. Further, despite this entry in books, no payment was made and there is lack of documentary or other evidence validating these purported purchases. How would you deal in the given situation?

Materiality, Risk assessment and Internal Control

11. While assessing the impact of uncorrected misstatements in the audit of Manhattan Constructions Private Limited, Mr. Sushil encountered a significant issue related to the calculation of materiality on Sales. The initial materiality calculation was based on estimated figures provided by the management. Notably, during the estimation of full-year sales, the management extrapolated from the actual amount of 11 months to derive the 12 months of sales. However, given the nature of Manhattan Constructions as a company in the construction sector, where monthly sales exhibit substantial variations, a unique challenge emerged.

The actual sales for the last month deviated significantly from the estimated sales due to an unforeseen increase in stamp duty rates imposed by the government in that region. As a result, the last month's actual sales represented only 25% of the estimated sales. Now, Mr. Sushil is confronted with a dilemma regarding the appropriate approach

to evaluate uncorrected misstatements using the previously calculated materiality. Kindly Guide Mr. Sushil in the light of relevant Standards on Auditing.

Related Services

12. Brown Enterprises Limited has huge funds locked up in its trade receivables standing at around ₹ 100 crores as on 31st December, 2023. The management of the company wants to evaluate validity of the trade receivables to ensure reliability of financial reporting at the year end. The accounts department has provided a list of trade receivables to the management containing about 1000 names, their balances and contact/communication details spread in different parts of the country. The company's management has requested CA. Karuna to take up this assignment and prepare a report for management in accordance with professional standards. Despite not being statutory auditor of the company, she decides to accept above engagement.
- (a) By explaining nature of engagement described above, discuss whether it was proper for her to accept such engagement.
- (b) While reporting, which precautions should be taken by her so that readers of the report do not misunderstand its scope?

Prospective Financial Information and Other Assurance Services

13. STAR Limited has outsourced its payroll processing functions to a service organization - Little Solutions Private Limited. Little Solutions Private Limited is responsible for accurate preparation of payrolls and timely remittance of statutory dues to the government authorities on behalf of the company. Little Solution Private Limited's controls related to timely remittance of payroll deductions to government authorities are relevant to the company as late remittances could result in interest and penalties resulting in liabilities for the company.

The auditors of STAR Limited want to be sure about description, design and operating effectiveness of controls at Little Solutions throughout the year. In this regard, they require an assurance report from auditors of Little Solutions Private Limited.

- (a) Why the auditors of STAR Limited require an assurance report from the auditors of Little Solutions Private Limited? Which engagement and quality control standard casts such kind of responsibility upon the auditor?
- (b) Which type of report should be provided by the auditors of Little Solutions? Justify with reasons.
- (c) State matters on which opinion is to be provided by the auditors of Little Solutions.

Digital Auditing and Assurance

14. Certain studies have suggested that increase in cyber-attacks and rise in global payment processing cost have hit global banking and finance industries enormously. Therefore, such industries are going to place reliance on new technologies such as Blockchain. Blockchain is based on a decentralized and distributed ledger that is secured through encryption. Each transaction is validated by the blockchain participants, creating a block of information that is replicated and distributed to all participants. However, such technology comes with its weaknesses and associated risks.

What are common risks for Blockchain technology? Also discuss probable audit implications where such technology can be used.

Special Features of Audit of Banks and Non-Banking Financial Companies

15. PDSJ & Associates are Statutory Auditors of a scheduled Commercial Bank for the year 2023-24. While evaluating internal control over advances, it came to their notice that classification of term loan borrower accounts into SMA as well as NPA is done in the system on the following lines:
- In case full dues are not received on a particular due date, a borrower account is immediately considered as overdue on the very next day. For example, if due date of loan account is 31st March, 2023 and dues are not received on 31st March, 2023, it shall be considered as overdue on 1st April, 2023.
 - If it continues to remain overdue, then account is tagged as SMA-1 on 1st May, 2023.

- If it continues to remain overdue further, then account is tagged as SMA-2 on 31st May, 2023.
- If it continues to remain overdue even after being tagged as SMA-2, it is classified as NPA on 30th June, 2023.

Evaluate above control designed by bank in the system for the purpose of exercising control over such advances in compliance to regulatory guidelines.

Audit of Public Sector Undertakings

16. Comptroller & Auditor General appointed Saha & Associates, a Chartered Accountant firm, to conduct Performance audit of herbal Ltd., a public sector undertaking of Government of India. The firm conducted the audit with a view to check that all the expenses of the unit are in conformity with the public interest and publicly accepted customs. The audit report submitted by the audit firm was rejected by C&AG. Give your opinion on the action of C&AG.

Internal Audit

17. CA. Sanjana has recently joined as Chief Internal Auditor of Up Scale Limited, a listed company. Her subordinate staff in internal audit department brings to her knowledge many prior audit issues highlighted in the previous internal audit reports which are still open. Does she have any responsibilities in this regard? How should she proceed in this situation?

Sustainable Development Goals (SDG) & Environment, Social and Governance (ESG) Assurance

18. SEBI has made Business Responsibility and Sustainability Report (BRSR) mandatory for certain listed companies. It is an evolutionary step in Environment, Social and Governance (ESG) reporting. Discuss the nature of ESG reporting. How can corporates contribute to Sustainable Development Goals (SDGs)?

Professional Ethics & Liabilities of Auditors

19. (a) Comment on the following with reference to the provisions of the Chartered Accountant Act 1949:
- (1) CA. Pankaj accepted professional work of acting as valuer under direct taxes. He charges fees on a percentage of the property valued.
 - (2) CA. Anita joined as an audit executive in a CA firm on April 1, 2023. Despite receiving multiple reminders from ICAI, she has failed to respond with her appointment date and submit her membership certificate.
- (b) Mr. Johnny, a chartered accountant, was invited to a seminar on bank audits to give a presentation on the process of conducting such audits. During his presentation, he provided examples from his clients' experiences and shared the significant information about clients with the intention of aid in understanding of audience on the topic. Does above situation have implications in relation to the professional ethics?
20. CA. Tanya, the auditor of KBC Pvt. Ltd. has delegated following works to his articles and staff:
- i. Issue of audit queries during the course of audit.
 - ii. Issue of memorandum of cash verification and other physical verification.
 - iii. Letter forwarding draft observations/financial statements.
 - iv. Issuing acknowledgements for records produced.
 - v. Signing financial statements of the company.
- Is this correct as per the Professional Ethics and ICAI's guidelines and pronouncements?